

Where to Build in Europe

Identifying the single most profitable, scalable and defensible startup opportunity in the European ecosystem, grounded in live revenue data from 1,000 TrustMRR-tracked startups.

DATA AND METHOD

Primary data: TrustMRR 1,000-row dataset (frozen 30 July 2026) containing verified Stripe and RevenueCat revenue, MRR, subscriptions and growth for startups across 50+ countries. 288 of the 1,000 are European.

- Geography screen: funding, unicorn density, TrustMRR country-level MRR.
- Industry screen: capital flow, TrustMRR category revenue, B2B vs B2C split.
- Convergence: gap matrix, scoring model, feasibility and financial test.

KEY FINDINGS

- 1 Europe builds more, earns less**
EU is 28.8% of TrustMRR startups but only 11.1% of 30-day revenue. Median MRR is \$190 vs \$1,262 in the US.
- 2 AI is the dominant category but thinly monetised**
74 EU AI startups with a median MRR of just \$228. The application layer has volume, not revenue.
- 3 B2B earns 3x more than B2C**
EU B2B median MRR is \$553 against \$165 for B2C. The gap is even wider in AI.
- 4 Capital is concentrating into fewer deals**
H1 2026 delivered EUR 44.1bn across roughly 1,740 deals. Fewer companies, larger cheques.
- 5 The real gap sits below Tier 1**
Europe's industrial base is the demand centre, yet its supplier network remains digitally unserved.

RECOMMENDED NICHE

Agentic AI for Industrial Supply Chain Assurance

A vertical B2B AI platform that maps, monitors and evidences multi-tier supplier compliance for European industry.

10.8%

TAM CAGR to 2034

EUR 970bn

EU defence spend by 2030

Month 34

Break-even

European Startup Ecosystem Overview

~\$4tn

Ecosystem value, about 15% of GDP

288 / 1,000

European startups in TrustMRR dataset

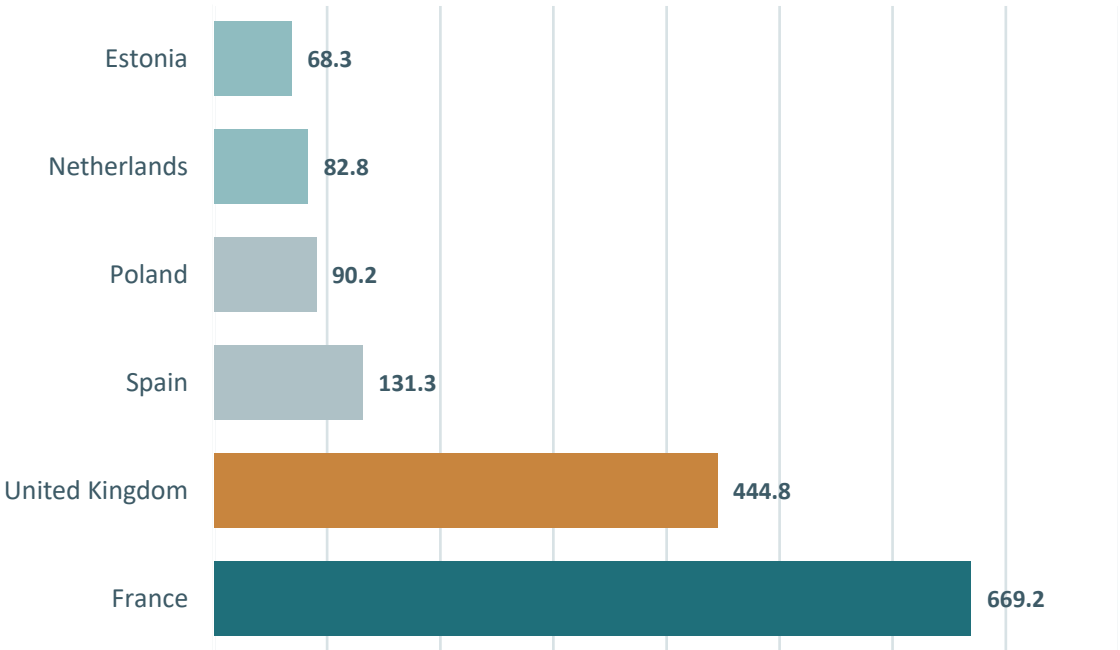
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European unicorns (UK 80, DE 44, FR 34)

EUR 44.1bn

H1 2026 funding across ~1,740 deals

TrustMRR startups and 30-day revenue by EU country



Ecosystem quality ranking, 2026 (StartupBlink)

#	Country	Score	TrustMRR n
1	United Kingdom	80.1	50
2	Sweden	43.8	3
3	Germany	38.6	24
4	Switzerland	34.2	7
5	Netherlands	32.9	13
6	France	31.5	79

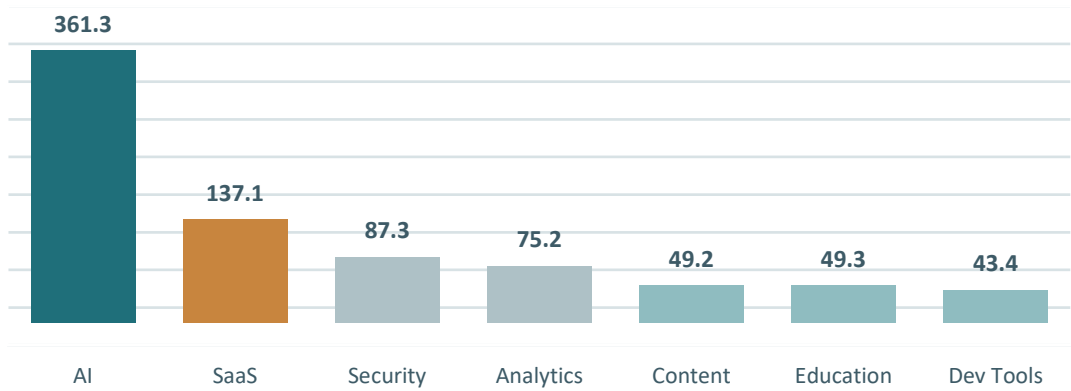
TrustMRR data insight

France leads both TrustMRR startup count (79) and 30-day revenue (\$669K). Ecosystem quality ranking and actual revenue generation do not align: France ranks sixth on quality but first on revenue. The UK ranks first on quality but second on revenue with half the startup count. Germany has a mature VC landscape but only 24 TrustMRR companies generating \$42K monthly.

Sources: TrustMRR dataset (288 EU rows), StartupBlink 2026, Tech.eu H1 2026, Atomico 2025, Hurun Unicorn Index 2026.

Where European Revenue Is Actually Concentrated

TrustMRR EU: 30-day revenue by category (\$K)



● **EU AI median MRR is 16x below the US**
EU AI startups: 74 companies, \$228 median MRR. US AI startups: 61 companies, \$3,645 median MRR. The volume is there; the monetisation is not.

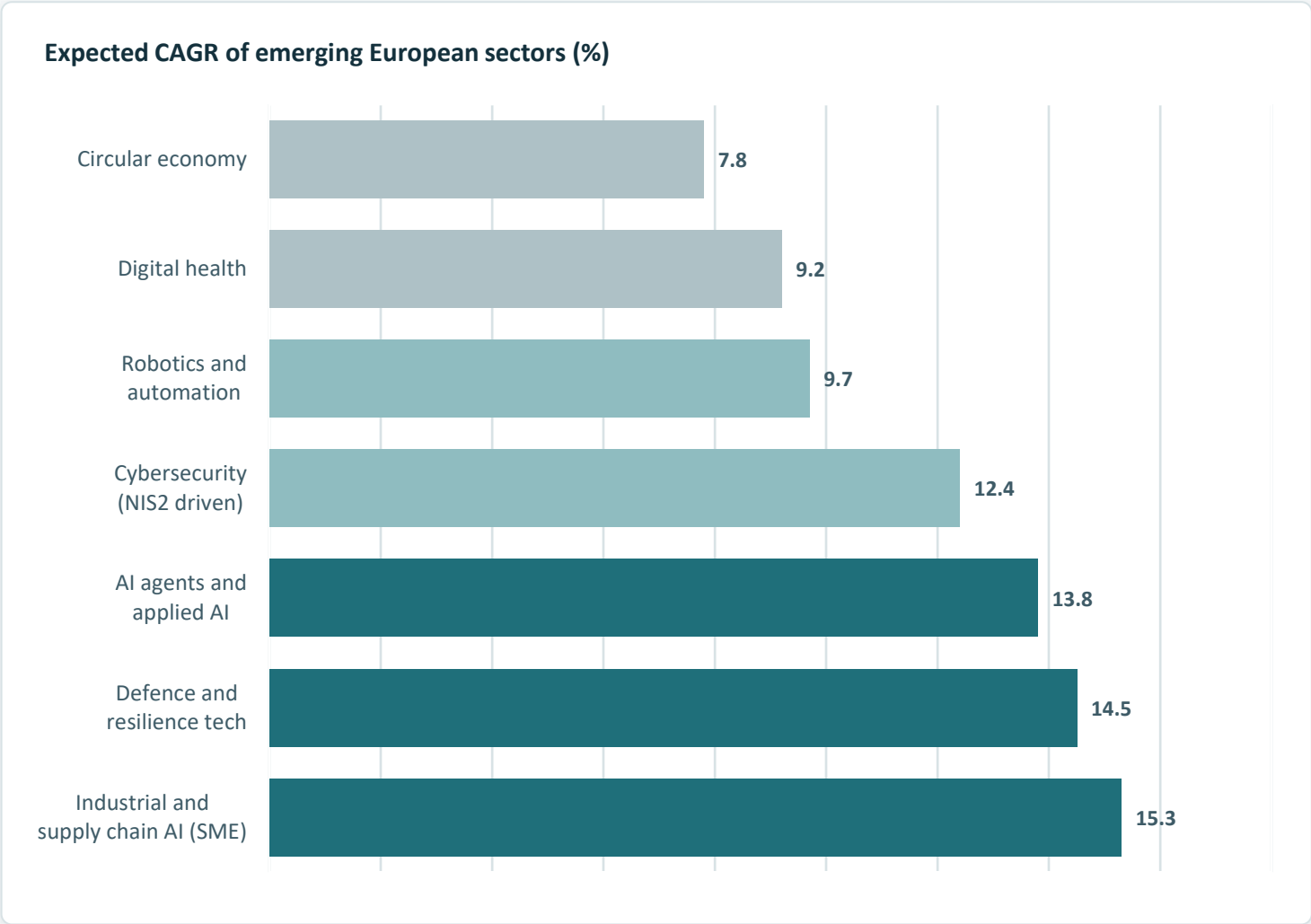
● **B2B earns 3x more than B2C**
EU B2B median MRR \$553 vs B2C \$165. In AI specifically, B2B median is \$435 against B2C's \$185. B2B is the profitable layer.

● **Only 40% of active EU startups are growing**
Of 156 EU companies with MRR above \$100, 62 are growing, 33 are flat, and 61 are shrinking. Winner-take-all dynamics are already visible.

Industry	TrustMRR EU n	Median MRR	VC capital signal	Demand	Verdict
AI (frontier)	n/a	n/a	\$4bn EU vs \$146bn US	High	Avoid
Applied / vertical AI	74	\$228	61% of Q1 26 deal value	Very high	Pursue
Defence / resilience	n/a	n/a	\$8.7bn in 2025, up 55%	Very high	Adjacent
SaaS	27	\$553	Mature, saturated	High	Selective
Content Creation	14	\$1,319	Fragmented	Moderate	Selective
Dev Tools	9	\$46	Enterprise-anchored	High	Selective
Security	6	\$836	NIS2 driving spend	High	Adjacent
Education	7	\$2,317	Consumer-led	Moderate	Selective

Sources: TrustMRR dataset (288 EU rows, frozen 30 Jul 2026), Atomico 2025, FundingTrip Q1 2026, Dealroom/NATO Fund Feb 2026, GoHub Ventures H1 2026.

Emerging Opportunities, 2026 to 2035



1 Demand is legislated, not discretionary

CSRD, CSDDD, CBAM, NIS2 and dual use export controls make multi-tier traceability a legal duty.

2 Defence budgets are the anchor

European defence spending projected to approach EUR 970bn by 2030, forcing qualification of new suppliers.

3 The AI Act creates a 16 month build window

Article 50 transparency from 2 Aug 2026. High risk deferred to 2 Dec 2027 under the Digital Omnibus.

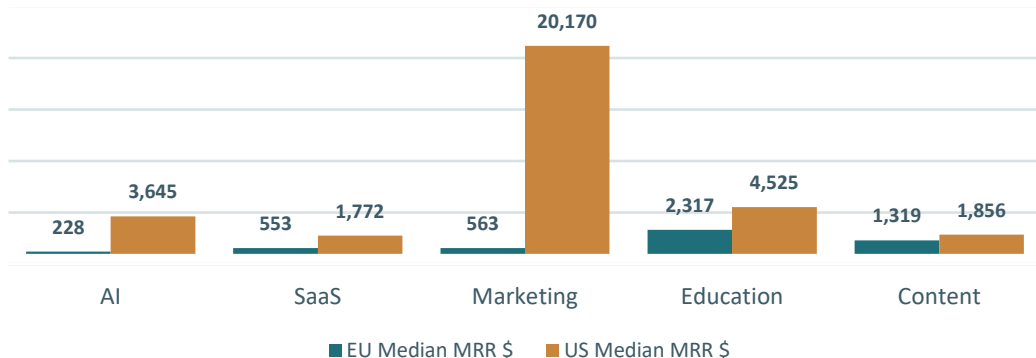
4 SMEs adopt fastest, per TrustMRR and market data

EU SME supply chain software at 15.3% CAGR to 2034. TrustMRR confirms EU B2B SaaS median MRR (\$553) is viable.

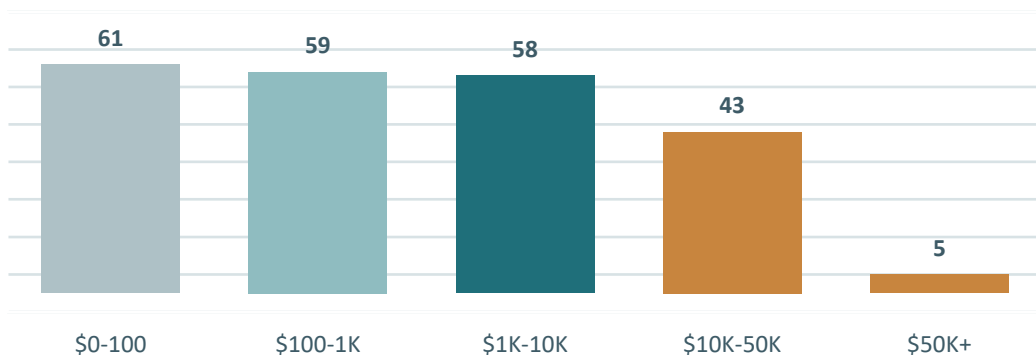
Sources: Market Data Forecast Europe SCM 2026, Technavio 2026, FundingTrip 2026, Gibson Dunn/DLA Piper on the EU Digital Omnibus 2026, TrustMRR dataset.

Market Gap and Blue Ocean Analysis

TrustMRR: EU vs US median MRR by category (\$)



TrustMRR EU: MRR tier distribution (226 active)



Four problems nobody is solving well

1 No visibility below Tier 1

Defence and aerospace primes can name their direct suppliers. Almost none can evidence Tier 2 and Tier 3.

2 Compliance is manual and duplicated

A mid-sized supplier answers the same CSRD, CBAM, NIS2 and export control questionnaire separately for every customer.

3 Incumbent software is mispriced for the mid-market

Enterprise SCM suites carry six figure licences and 12 to 18 month implementations. TrustMRR shows EU B2B SaaS works best at \$20 to \$80/month price points.

4 Audit evidence, not dashboards

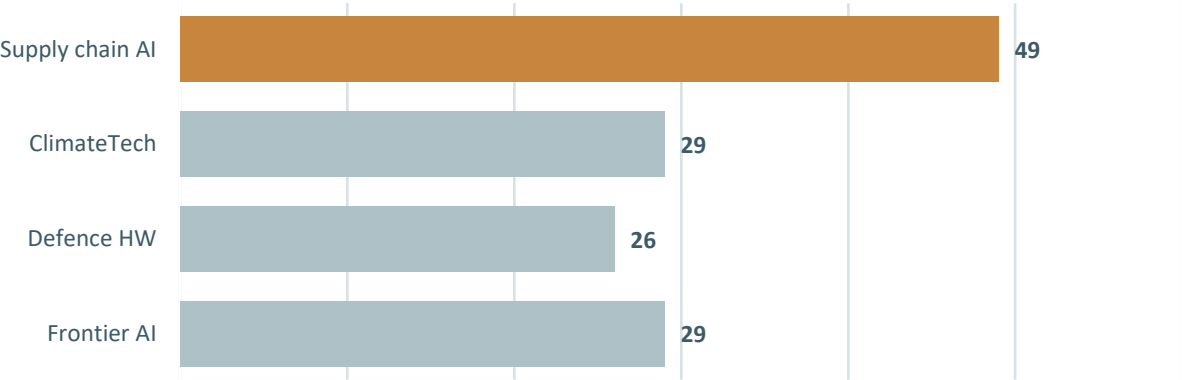
Buyers need a defensible audit trail for a regulator. TrustMRR's verified revenue model shows the demand for provable data.

Blue ocean test passed: high and legislated demand, low incumbent intensity, no dominant European player.

Scoring the Shortlist

Criterion	Frontier AI	Defence HW	ClimateTech	Supply chain AI
Profitability	5	6	5	9
Scalability	9	4	6	9
Low competition	2	4	6	8
Investment potential	9	9	5	8
Ease of entry	1	2	5	8
TrustMRR evidence	3	1	2	7
Total out of 60	29	26	29	49

Weighted attractiveness score



Porter's Five Forces: supply chain assurance AI

- New entrants: MODERATE. Low capital need, but domain trust and clearance take years.
- Buyer power: LOW. Compliance is mandatory and switching means re-auditing the supplier base.
- Supplier power: LOW. Model layer is commoditised across multiple foundation providers.
- Substitutes: MODERATE. Consultants and spreadsheets, both expensive and non-auditable.
- Rivalry: LOW to MODERATE. Incumbents priced for enterprise, none owns the mid-market.

PESTLE snapshot

- Political and Legal: strongest tailwind. Rearmament plus CSDDD, CBAM, NIS2 and the AI Act.
- Economic: industrial margins under pressure, compliance is a board level line item.
- Social and Environmental: scope 3 and forced labour disclosure now buyer mandated.
- Technological: agentic AI makes unstructured supplier documents machine readable.

SWOT: the recommended venture

STRENGTH

Regulatory complexity is the moat

WEAKNESS

Long enterprise sales cycles

OPPORTUNITY

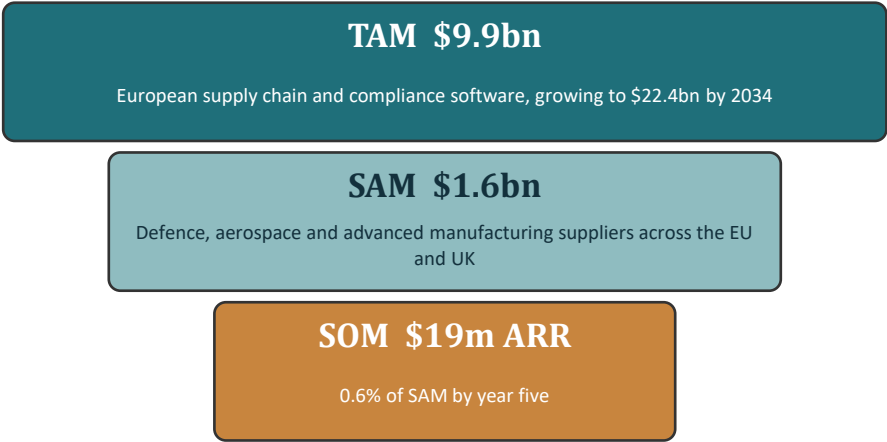
No European category leader yet

THREAT

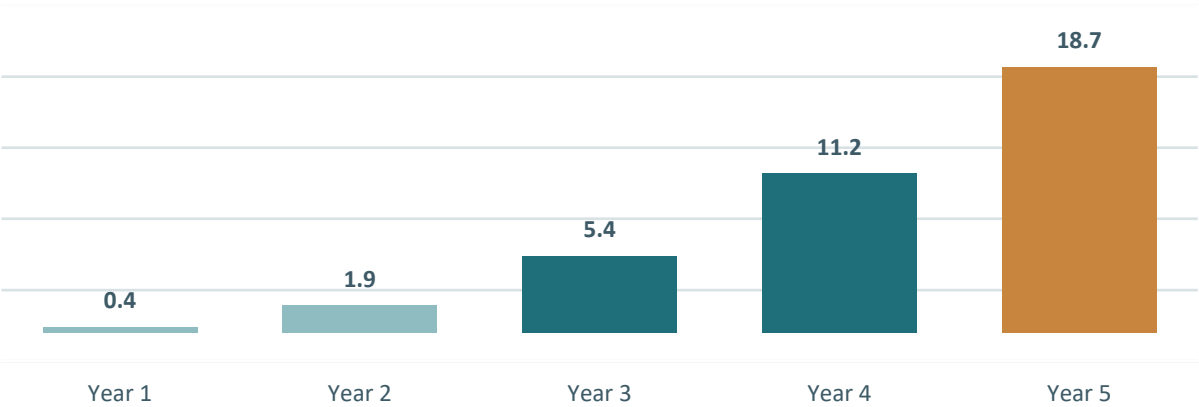
SAP or Siemens bundling downstream

Market Sizing and Financial Case

Market sizing, 2026 base year



Modelled ARR ramp (EUR m)



TECHNICAL

Retrieval and agentic extraction over supplier documents. No frontier model training.

MARKET

TrustMRR confirms EU B2B SaaS achieves \$553 median MRR. Demand is legislated.

FINANCIAL

Software margins of 78 to 82%. Seed of EUR 2.5m carries the company to Series A.

OPERATIONAL

Five to seven person founding team. Design partners replace outbound sales in year one.

LEGAL

AI Act Article 50 from Aug 2026. High risk duties deferred to Dec 2027.

EUR 2.5m

Seed requirement

Month 34

Break-even

78 to 82%

Gross margin

EUR 18.7m

Year 5 ARR

5 to 7x

Modelled seed ROI

TAM from Market Data Forecast Europe SCM 2026. SAM/SOM modelled. TrustMRR median referenced for market feasibility validation.

Recommended Business Model

WORKING NAME

TierZero

The supply chain assurance layer for European industry.

PROBLEM

A mid-sized manufacturer answers the same compliance questionnaire dozens of times a year, by hand, and still cannot evidence Tier 3.

SOLUTION

AI agents ingest supplier documents, map the multi-tier network, monitor it continuously and produce regulator-ready evidence packs.

TARGET MARKET

Defence, aerospace and advanced manufacturing suppliers of EUR 10m to 500m revenue in Germany, the UK, France and the Nordics.

COMPETITIVE ADVANTAGE

Regulatory depth compounds. Every audit trail collected makes the network graph harder to replicate.

BUSINESS MODEL CANVAS

Key Partners

Defence primes, notified bodies, EU accelerators, ERP integrators

Key Activities

Agent development, regulatory mapping, supplier onboarding

Key Resources

Supplier network graph, regulatory ontology, design partner base

Value Proposition

Compliance answered once, evidenced continuously, priced for the mid-market

Customer Relationships

Land with a prime, expand through its supplier tiers

Channels

Prime-led referral, industry associations, EU tender frameworks

Customer Segments

Tier 2 and Tier 3 industrial suppliers plus prime procurement teams

Cost Structure

Engineering 55%, inference and hosting 12%, GTM 25%

Revenue Streams

Annual SaaS seats, per-audit evidence packs, prime network licence

GO TO MARKET

01

Land three design partners inside one prime's supplier tier

02

Convert to a prime-level network licence, then expand tier by tier

03

Replicate the motion across a second country and a second regulation

04

Add per-audit evidence packs as high-margin transactional revenue

TierZero is a working concept name. Pricing and cost structure are modelled assumptions validated against TrustMRR B2B SaaS benchmarks.

Risk Assessment and Implementation Roadmap

Risk	Likelihood	Impact	Mitigation
Market: mid-market budgets stay frozen through a soft industrial cycle	Medium	High	Sell against a cost line that already exists. Price below the consulting spend it replaces.
Competition: SAP, Siemens or an incumbent SCM vendor bundles the capability	Medium	High	Move faster in a segment they systematically ignore. Build integration, not replacement.
Regulatory: further Omnibus deferrals weaken the buying trigger	Medium	Medium	Anchor the pitch on prime-mandated requirements, which are contractual, not regulatory.
Technology: agent accuracy on unstructured documents falls short of audit standard	Medium	High	Human in the loop on every evidence pack. Ship confidence scores and source citation.
Funding: European Series A bar keeps rising as capital concentrates	High	Medium	Target EUR 1.5m ARR and 120% NRR before raising. Use venture debt to extend runway.

IMPLEMENTATION ROADMAP

0 to 6 MONTHS	6 to 12 MONTHS	YEAR 2	YEAR 3
Prove the wedge - Sign three unpaid design partners inside one prime's supplier tier - Ship the document ingestion and evidence pack MVP - Close a EUR 2.5m seed round	First revenue - Convert design partners to paid contracts - Reach EUR 400k ARR across 18 supplier sites - Complete ISO 27001 and defence supplier vetting	Prove the motion - Sign the first prime-level network licence - Enter a second country, Germany or the UK - Reach EUR 1.9m ARR and open the Series A	Category position - Add a second regulation module, CBAM or NIS2 - Reach EUR 5.4m ARR with 120% NRR - Raise Series A of EUR 10m to 12m

The Recommendation

An entrepreneur starting in Europe today should build the agentic AI assurance layer for the industrial supply chain.

TrustMRR data confirms EU B2B AI is the viable revenue layer, while external data confirms industrial compliance is the underserved market.

1

Why it is superior

Frontier AI is capital-locked, defence hardware is certification-locked and climate tech is repricing. Supply chain assurance scored 49 of 60 against 26 to 29 for the alternatives.

2

Why it is profitable

Software gross margins of 78 to 82% on a mandatory purchase. TrustMRR shows EU B2B SaaS achieves \$553 median MRR at current pricing; TierZero targets \$2K per site.

3

Why it scales

One regulatory ontology serves every EU member state. Adding a country is configuration, not a rebuild. Each prime licence unlocks hundreds of suppliers.

THE EVIDENCE IN FIVE NUMBERS

\$190 vs \$1,262

EU vs US median MRR in TrustMRR

3x

EU B2B over B2C median MRR in TrustMRR

15.3%

CAGR of EU SME supply chain software

\$8.7bn

Defence/resilience funding in 2025, up 55%

Dec 2027

AI Act high-risk deadline, a 16 month window

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